They exist to provide value and service to their communities; profit is a by-product of that process.' Mistry's tenure was 'marked by repeated departures from the culture and ethos of the group,' commented the *Financial Times*.

The perception in many quarters was that Mistry conducted the group's affairs in a more mercantile way, divorcing it from its social moorings and commitments. *Fortune* also commented: 'That view appears to be at the heart of the boardroom dust-up. Mistry was attempting to gradually transform Tata from a sprawling empire of middling businesses into a much more focused profit-driven enterprise, but that involved decisions like axing businesses and jobs, moves that jarred with the Tata ethos, say sources close to the conglomerate.'

The Tata Group's ethos is such that it would prefer to incur losses rather than severing ties and leaving. It has worked to maintain a fine balance between profits and social responsibility. This might explain why there are several Tata companies that have not been culled despite the losses they have been accumulating. It has been suggested that these companies that yield below the cost of capital were retained because the group is accepting a 'trade-off: lower returns in exchange for the Tata Group behaving in a socially responsible fashion', opined *The Economist*.

During the presentation of an award to Ratan for 'responsible capitalism' instituted by FIRST, a multidisciplinary international affairs organization, Lord Woolf, former Lord Chief Justice of England and Wales, summed up the philosophy that the Tata Group and Ratan embody: 'Ratan Tata has demonstrated how it is possible to combine being an extremely successful leader of highly innovative companies with social responsibility and concern for the environment and well-being of the local communities in which those companies operate around the globe.'

With so many differences between Tata Trusts and Mistry, and an overall impression that the performance of the new chairman was lacklustre at best, it was not hard to predict that the situation would worsen.